

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 943

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO TAXATION; PROVIDING LEGISLATIVE FINDINGS; AMENDING TITLE 63, IDAHO CODE, BY THE ADDITION OF A NEW CHAPTER 46, TITLE 63, IDAHO CODE, TO PROVIDE A SHORT TITLE, TO DEFINE TERMS, TO PROVIDE AN INCOME TAX CREDIT, A PROPERTY TAX EXEMPTION, AND A SALES TAX EXEMPTION FOR STRATEGIC PIPELINE INFRASTRUCTURE PROJECTS, TO PROVIDE REGULATORY RELIEF FOR STRATEGIC PIPELINE INFRASTRUCTURE PROJECTS, AND TO PROVIDE FOR THE APPLICATION FOR FEDERAL GRANTS AND FINANCING PROGRAMS; AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. LEGISLATIVE FINDINGS. The Legislature finds and declares that:

(1) Reliable access to motor fuels and refined petroleum products is essential to Idaho's economy, public safety, and quality of life, including but not limited to agriculture, food production, manufacturing, construction, transportation, emergency services, health care, and commerce.

(2) Idaho does not currently have an in-state petroleum refining capacity and therefore relies heavily on interstate transportation systems and out-of-state fuel supplies to meet the needs of residents and businesses.

(3) Disruptions, constraints, and increased costs affecting interstate fuel supply chains can result in higher fuel prices, reduced availability, and economic harm to Idaho consumers, employers, and critical services, particularly in a rural state where travel and transportation are necessary.

(4) A resilient and diversified fuel supply system, including access to multiple interstate pipeline routes and sources, reduces vulnerability to supply disruptions, market volatility, and external policy or infrastructure constraints.

(5) Energy security is a matter of public safety and economic stability for the State of Idaho. Ensuring access to reliable, sufficient, and diversified supplies of motor fuels and refined petroleum products is essential to protect Idaho residents, businesses, agriculture, emergency services, and critical infrastructure from supply disruptions, price volatility, and external market or policy constraints.

(6) Investment in modern, expanded, and reliable interstate pipeline infrastructure promotes fuel supply stability, enhances energy security, supports economic growth, and benefits consumers through improved market access and competition.

(7) High-cost pipeline infrastructure projects require substantial up-front capital investment and long-term regulatory certainty, and such projects may not proceed without targeted incentives and a predictable, timely permitting framework.

(8) The State of Idaho has a legitimate and compelling interest in encouraging infrastructure investment that strengthens energy supply resilience, protects consumers from supply shocks, and supports the continued functioning of Idaho's economy and essential services.

SECTION 2. That Title 63, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW CHAPTER, to be known and designated as Chapter 46, Title 63, Idaho Code, and to read as follows:

CHAPTER 46
PROTECTING IDAHO PIPELINE ENERGY SECURITY ACT

63-4601. SHORT TITLE. This chapter shall be known and may be cited as the "Protecting Idaho Pipeline Energy Security Act" or the "PIPES Act."

63-4602. DEFINITIONS. For the purposes of this chapter:

(1) "Construction" means the development, installation, or creation of a new pipeline or related facilities, including laterals, interconnections, pumping stations, storage facilities, and associated infrastructure.

(2) "Developer" means any person or business entity, including an owner, operator, developer, or investor, who engages in or proposes to engage in the interstate transmission, storage, distribution, or delivery of crude oil or refined petroleum products and is eligible for any incentive provided in this chapter.

(3) "Energy security" means the availability of reliable, sufficient, and diversified fuel supplies necessary to support economic activity, public safety, and essential services within the state.

(4) "Pipeline" means real and personal property, including gathering lines and fixtures, owned or operated to facilitate the interstate transmission, storage, distribution, or delivery of crude oil or refined petroleum products through a pipe that has an outside diameter of at least six (6) inches.

(5) "Refined petroleum products" means gasoline, diesel fuel, aviation fuel, and other liquid products derived from crude oil that are intended for use as motor fuel.

(6) "Strategic pipeline infrastructure project" means any phased or multistage project where the developer certifies to the state tax commission in writing that the aggregate investment will meet or exceed fifty million dollars (\$50,000,000) in new investment in construction of a new pipeline that:

- (a) Is not a replacement of an existing pipeline;
- (b) Crosses into Idaho from an adjacent state or nation from which no pipeline already exists; and
- (c) Delivers crude oil or refined petroleum products to Idaho customers.

63-4603. INCOME TAX CREDIT, PROPERTY TAX EXEMPTION, AND SALES TAX EXEMPTION FOR STRATEGIC PIPELINE INFRASTRUCTURE PROJECTS.

(1) (a) For taxable years beginning on or after January 1, 2027, a developer that places a strategic pipeline infrastructure project into service is allowed an investment tax credit against any applicable tax im-

posed by chapter 30, title 63, Idaho Code. The credit shall be equal to thirty-five percent (35%) of the new infrastructure-related revenue. For purposes of this section, "infrastructure-related revenue" means an increase, if any, in the amount of revenue, in a taxable year, that is attributable to the strategic pipeline infrastructure project.

(b) The credit allowed under this section may be claimed annually through the taxable year that the earliest of the following occurs:

(i) The economic life of the strategic pipeline infrastructure project has ended, provided that a developer shall provide the state tax commission with such information as the state tax commission may require to determine and certify the economic life of the strategic pipeline infrastructure project;

(ii) Twenty (20) years have passed from the time the initial credit was claimed; or

(iii) The developer has recovered fifty percent (50%) of the total cost of the strategic pipeline infrastructure project through the credit provided in this section.

(c) A developer seeking a credit under this section shall, for each taxable year, file a report with the state tax commission showing the infrastructure-related revenue. The report shall be prepared by an independent certified public accountant that verifies the infrastructure-related revenue described in paragraph (a) of this subsection in accordance with generally accepted accounting principles.

(2) The construction of a pipeline on or after January 1, 2027, that is the result of a completed strategic pipeline infrastructure project in Idaho shall be exempt from real and personal property taxation.

(3) Beginning on January 1, 2027, the sale, lease, or purchase of tangible property that is incorporated into the pipeline system as a component part of the strategic pipeline infrastructure project is exempt from any sales or use tax under Idaho law.

63-4604. REGULATORY RELIEF FOR STRATEGIC PIPELINE INFRASTRUCTURE PROJECTS. (1) Except as otherwise required by federal law, a strategic pipeline infrastructure project shall be exempt from any additional state permitting, licensing, certification, environmental review, or any other applicable statutory requirement.

(2) If a state agency is charged with implementing or enforcing any federal regulatory review and approval process in connection with a strategic pipeline infrastructure project, such agency shall expedite and prioritize such review or approval to the extent permitted by federal law.

(3) This section shall not be construed to prevent any county or city permitting, licensing, certification, environmental review, or any other applicable requirements.

(4) In the event a state agency, county, or city fails to issue a final decision on an application for a permit, license, certification, or any other applicable regulatory authorization within sixty (60) days, or within the timeline mandated by federal law, whichever is shorter, the application for any permit, license, certification, or other similar application shall be deemed approved.

1 (5) State agencies, counties, cities, and all other political subdi-
2 visions shall give priority consideration to strategic pipeline infrastruc-
3 ture projects that materially enhance Idaho's energy security by:

4 (a) Increasing access to diversified interstate fuel supply sources;

5 (b) Improving redundancy or resiliency of fuel transportation infra-
6 structure; or

7 (c) Reducing Idaho's reliance on a limited number of supply corridors
8 or single-source markets.

9 63-4605. APPLICATION FOR FEDERAL GRANTS AND FINANCING PROGRAMS. State
10 agencies are authorized and directed to seek out all available federal
11 grants, state or federal low-interest or no-interest financing options, or
12 other similar state or federal programs that may be available to financially
13 or otherwise assist a business seeking to invest in and complete a strategic
14 pipeline infrastructure project.

15 SECTION 3. This act shall be in full force and effect on and after Jan-
16 uary 1, 2027.